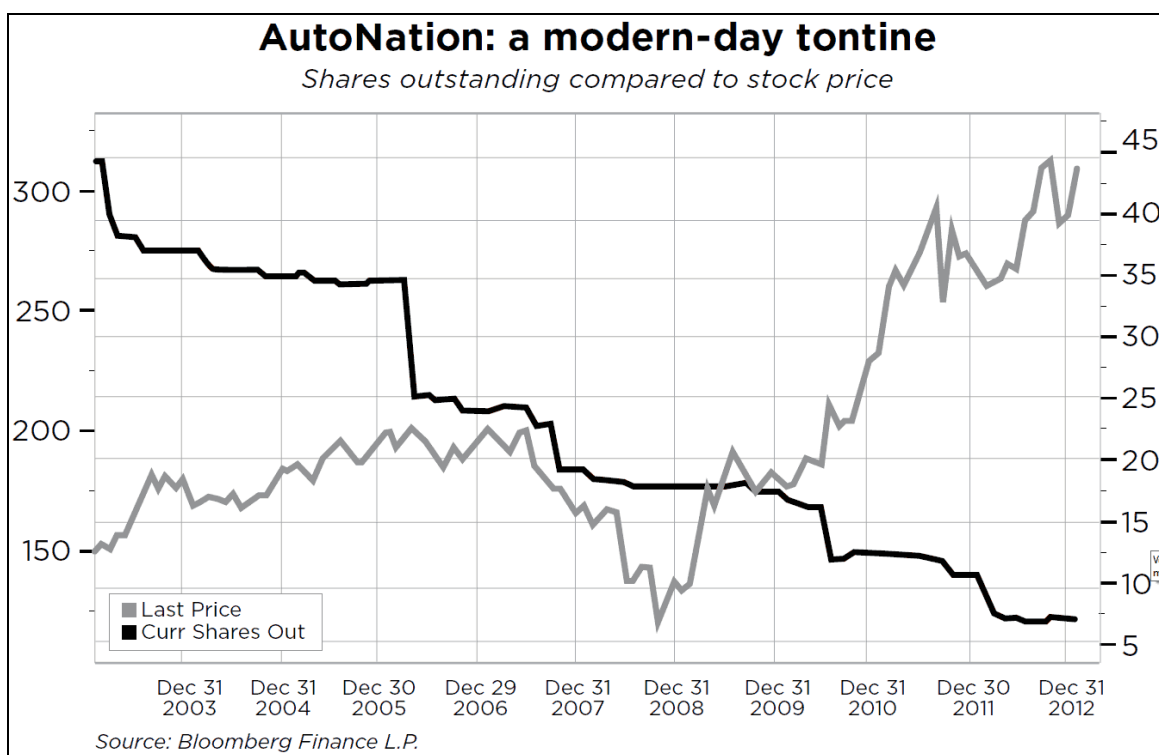


tontines work. Ever since his involvement, AutoNation has bought back gobs of stock. All told, 65 percent of the shares have been retired.

That's 8.4 percent per year — just from stock buybacks. As Steve Bregman at Horizon-Kinetics, which owns a 5 percent stake in AN, writes, "This is most unusual in scale and duration; one is witnessing — or may participate in — a slow going-private transaction that is taking place in the open market."

The effects have been wonderful for the stock. AutoNation is up 520 percent since the tontine began. Annualized, that's better than 15 percent per year — for 13 years! The chart above shows you the last 10 years. You can see the fall in shares outstanding and the surge in the stock price.



Meanwhile, Lampert held onto his shares and his stake swelled. He's trimmed it a bit in the last couple of years but still owns almost 53 percent of the stock.

An even-longer-term example is Loews Corp. I admire the skills and patience of the Tisch family, which controls Loews. The family is also the largest shareholder. Loews has consistently bought back stock. Over the past four decades, Loews cut the total number of shares